

MASTER CIRCULAR**SEBI/HO/MIRSD/MIRSD-PoD-1/P/CIR/2024/110****August 09, 2024****To,****All Recognized Stock Exchanges****Stock Brokers through Recognized Stock Exchanges**

Madam/Sir,

Subject: Master Circular for Stock Brokers

- I. Securities and Exchange Board of India (SEBI), from time to time, has been issuing various circulars/directions to Stock Brokers. In order to enable the users to have access to the provisions of the applicable circulars at one place, SEBI had issued Master Circular dated May 22, 2024 in respect of Stock Brokers.
- II. Subsequently, various guidelines/directions were issued to Stock Brokers by way of circulars/advisory. In view of the same, the Master Circular dated May 22, 2024 has been updated to include all relevant circulars that were issued till date i.e. August 09, 2024¹. The instant master circular supersedes the Master Circular for Stock Brokers dated May 22, 2024.
- III. Vide Master Circular for Stock Brokers dated May 22, 2024, the directions/instructions contained in the circulars listed out in the Appendix to that Master Circular, to the extent they relate to the Stock Brokers, were rescinded. In addition, with the issuance of this Master Circular, the directions/instructions contained in the circulars listed out at Sr. nos.117-118 in the Appendix to this Master Circular, to the extent they relate to the Stock Brokers, shall stand rescinded.
- IV. Notwithstanding such rescission,

¹ A list of changes made in Master Circular is placed at the end of circular as [Annexure A](#).

- a) anything done or any action taken or purported to have been done or taken under the rescinded circulars, prior to such rescission, shall be deemed to have been done or taken under the corresponding provisions of this Master Circular;
 - b) any application made to the Board under the rescinded circulars, prior to such rescission, and pending before it shall be deemed to have been made under the corresponding provisions of this Master Circular;
 - c) the previous operation of the rescinded circulars or anything duly done or suffered thereunder, any right, privilege, obligation or liability acquired, accrued or incurred under the rescinded circulars, any penalty, incurred in respect of any violation committed against the rescinded circulars, or any investigation, legal proceeding or remedy in respect of any such right, privilege, obligation, liability, penalty as aforesaid, shall remain unaffected as if the rescinded circulars have never been rescinded;
- V. This circular is issued in exercise of powers conferred under Section 11(1) of the Securities and Exchange Board of India Act, 1992.
- VI. This circular is available on SEBI website at www.sebi.gov.in.

Yours faithfully,

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List of Abbreviations

API	Application Programming Interface
CC	Clearing Corporation
CM	Clearing Member
CTCL	Computer-to-Computer Link
DP	Depository Participant

<i>EPI</i>	<i>Early Pay-in</i>
<i>FII</i>	<i>Foreign Institutional Investor</i>
<i>GIFT IFSC</i>	<i>Gujarat International Finance Tec-City International Financial Services Centre</i>
<i>IPF</i>	<i>Investor Protection Fund</i>
<i>ISIN</i>	<i>International Securities Identification Number</i>
<i>KYC</i>	<i>Know Your Customer</i>
<i>LAN</i>	<i>Local Area Network</i>
<i>MoA</i>	<i>Memorandum of Association</i>
<i>NOC</i>	<i>No Objection Certificate</i>
<i>PAN</i>	<i>Permanent Account Number</i>
<i>PoA</i>	<i>Power of Attorney</i>
<i>SGF</i>	<i>Settlement Guarantee Fund</i>
<i>T-Day</i>	<i>Trading Day</i>
<i>TM</i>	<i>Trading Member</i>
<i>UCC</i>	<i>Unique Client Code</i>
<i>VaR</i>	<i>Value-at-Risk</i>

IV. REGISTRATION OF STOCK BROKERS

1. Registration of Brokers - Verification of antecedents of the applicant²

- 1.1. In terms of Rule 8(1)(e) of Securities Contracts (Regulation) Rules, 1957, "no person shall be eligible to be elected as a member if he has been convicted of an offence involving fraud or dishonesty".
- 1.2. Stock Exchanges shall verify the antecedents of the applicant before granting admission as a member of Stock Exchange and also submit a declaration at the time of forwarding the applications for registration with SEBI, to the effect that the member has not been convicted of any offence involving fraud or dishonesty.

2. Conversion of individual membership into corporate membership³

- 2.1. In case of corporatisation of individual membership, the individual member may trade in his individual name pending registration of the corporate member by SEBI.
- 2.2. In case the corporate member acquires the membership through purchase of membership card of an individual member, the corporate member shall not be entitled to trade because of the provisions of Section 12 of the Securities and Exchange Board of India Act, 1992 (hereinafter referred to as "**SEBI Act 1992**"), till registration is granted to the corporate member by SEBI.

3. Additional information to be submitted at the time of registration of Stock Broker with SEBI⁴

- 3.1 In terms of Regulation 3(2) of the Securities and Exchange Board of India (Stock Brokers) Regulations, 1992 (hereinafter referred to as "**Stock Brokers Regulations 1992**"), a Stock Broker has to apply in Form A, Schedule I of the aforesaid Regulations, duly recommended by the Stock Exchange of which he is a member, for registration as a Stock Broker by SEBI.

² Reference: Circular SMD/POLICY/CIRCULAR/30/97 dated November 25, 1997.

³ Reference: Circular SMD/POLICY/CIR-34/97 dated December 11, 1997.

⁴ Reference: Circular SMD/POLICY/CIR-11/98 dated March 16, 1998.

3.2 While forwarding the applications in Form A, Stock Exchanges shall ensure that additional information as per the format at [Annexure-1](#) is also submitted along with the application for all the cases sent for registration.

4. Additional requirements for processing applications of Stock Brokers for Registration/ Prior approval for sale of Membership/ Change of name/ Trade name⁵

4.1 The applications for grant of registration / requisite approvals are processed by SEBI based on information communicated by the Exchange/ members to SEBI. Such information can undergo a change within a very short period of time. It has been observed that in many cases information/ documents enclosed along with the applications are outdated for SEBI to take any cognizance of the same.

4.2 In order to improve the standard of information flow so as to enable SEBI to take an informed decision while processing applications, the following norms may be adhered to:

4.2.1 Application for registration of stock brokers:

- a. Stock Exchanges shall ensure that the following documents which are forwarded by the Exchanges along with registration applications are not more than three months old from the date of forwarding of the application.
 - i. Form A
 - ii. Additional Information Form
 - iii. Undertakings furnished by the Applicant

4.2.2 Change of name applications for Brokers

- a. Stock Exchanges shall ensure that change of name applications should be accompanied by information from the Exchange as to whether the change in name is accompanied by / associated with change in majority shareholding / management / control. Applications not accompanied with such information from the Exchange would be returned to the concerned exchanges.

⁵ Reference: Circular SMD/DBA-II/CIR-22/2002 dated September 12, 2002.

- b. Stock Exchanges shall instruct all the member brokers of the exchange to comply with the above instructions and ensure that applications forwarded to SEBI strictly adhere with the above time schedules / documents failing which the applications would be returned to the concerned Exchange.

4.3 Clarification regarding eligibility for availing fee continuity benefit by corporate entity formed by converting partnership membership card of the Exchange

4.3.1 In order to get benefit of clause I (4) of Schedule III of the Stock Brokers Regulations 1992, all erstwhile partner(s) should be whole-time directors in the corporate entity so formed, and the whole-time director shall individually (in case there is one whole-time director) or jointly (in case there are more than one whole-time directors) have to hold at least 40% of the paid up equity capital of the corporate entity formed for a period of at least three years from the date of such conversion.

4.3.2 In case of Exchanges which do not grant membership to the partnership firms, but permit individual members to form partnerships, each of the erstwhile member partner, now whole-time director of the corporate entity, will have to individually or jointly hold at least 40% of the paid-up capital of the corporate entity so formed for a period of at least three years from the date of such conversion.

5. Merger/ Amalgamation of Trading Members⁶

5.1 When two or more corporate broking firms merge leading to creation of a new entity, the SEBI registration granted to the extinguishing entity does not automatically devolve upon the emerging entity and the new entity has to fulfil the eligibility criteria and apply afresh for registration and pay the registration fees.

5.2 The emerging entity may be allowed to trade on the registration of the

⁶ Reference: Circular SMD/POLICY(BRK.REG.)/CIR-18/98 dated July 09, 1998.

Paragraph in Circular SMD/POLICY(BRK.REG.)/CIR-18/98 dated July 09, 1998, which read "It is generally seen that while the application comes to SEBI after the court has approved the scheme of amalgamation/ merger, the existing entity is required to seek prior approval from SEBI in case of any change in its constitution, in terms of Rule 4(c) of SEBI (Stock Brokers) Regulations, 1992. Therefore, you are advised that as soon as the application for merger is filed before the High Court, the extinguishing broking entity should approach SEBI through the Stock Exchange for obtaining prior permission, to the scheme of merger/ amalgamation giving all necessary details of the proposal." deleted in view of Notification LAD-NRO/GN/2011-12/03/12650 dated April 19, 2011.

extinguishing entity for a period of say 45 days. However, the emerging entity should apply to SEBI at the earliest and give an undertaking to be liable for the act of the extinguishing entity and such applications in any case should be made not later than 30 days of the registration granted by the Registrar of companies to the emerging entity.

6. Admission of Limited Liability Partnerships as Members of Stock Exchanges⁷

- 6.1 Securities Contract (Regulation) Rules, 1957 (hereinafter referred to as “**SCRR 1957**”) do not explicitly mention Limited Liability Partnerships (LLPs) as the Limited Liability Partnership Act, 2008 (hereinafter referred to as “**LLP Act 2008**”) was a subsequent development. As per the LLP Act 2008, LLP is a body corporate. Sub-rule 4A and 5 of Rule 8 of the SCRR 1957 provide that Limited Liability Companies (LLC) and partnership firms are eligible to be admitted as members of Stock Exchanges. In this context it may be stated that LLPs are akin to LLC and partnership firms.
- 6.2 In view of the above and since the Parliament has put in place a legal framework for LLPs, Stock Exchanges may consider granting membership to LLPs subject to LLP complying with the conditions laid down in Rule 8(4A) of the SCRR 1957, as far as it can apply to LLPs.

7. Single registration for Stock Brokers & Clearing Members⁸

- 7.1 As per the amendment to the Stock Brokers Regulations 1992 vide Notification No. LAD-NRO/GN/2014-15/15/1671 dated October 08, 2014, the requirement of obtaining registration as stock broker/ clearing member for each Stock Exchange/ Clearing Corporation has been done away with and instead a single registration with any Stock Exchange/ Clearing Corporation shall be required. For operating in any other Stock Exchange(s)/ Clearing Corporation (s), approval will be required from the concerned Stock Exchange or Clearing Corporation.
- 7.2 Registration requirements will be as per the following guidelines:
- 7.2.1 If a new entity desires to register as a stock broker or clearing member with any Stock Exchange or Clearing Corporation, as the case may be, then the entity shall apply to SEBI through the respective Stock Exchange or Clearing Corporation in the manner prescribed in the Stock Brokers

⁷ Reference: Circular CIR/MIRSD/12/2011 dated July 11, 2011.

⁸ Reference: Circular CIR/MIRSD/4/2014 dated October 13, 2014.

Regulations 1992. The entity shall be issued one certificate of registration, irrespective of the Stock Exchange(s)/ Clearing Corporation(s) or number of segment(s).

- 7.2.2 If the entity is already registered with SEBI as a stock broker with any Stock Exchange, then for operating on any other Stock Exchange(s) or any Clearing Corporation, the entity can directly apply for approval to the concerned Stock Exchange or Clearing Corporation, as per the procedure prescribed in the Stock Brokers Regulations 1992 for registration. The Stock Exchange/ Clearing Corporation shall report to SEBI about such grant of approval.
- 7.2.3 Similarly, if any entity is already registered with SEBI as a clearing member in any Clearing Corporation, then for operating in any other Clearing Corporation(s) or any Stock Exchange, the entity shall follow the procedure as prescribed in para [7.2.2](#) above.
- 7.2.4 Fees shall be applicable for all the stock brokers, self-clearing members and clearing members as per Schedule V of the Stock Brokers Regulations 1992. As per current requirement, the entity shall continue to be liable to pay fees for each segment approved by the Stock Exchange or Clearing Corporation, as per the Schedule to the Stock Brokers Regulations 1992.
- 7.3 The Stock Exchange or Clearing Corporation shall grant approval for operating in any segment(s) or additional segment(s) to the SEBI registered stock broker, self-clearing member or clearing member, as the case may be, after exercising due diligence and on being satisfied about the compliance of all relevant eligibility requirements, and shall also, inter-alia ensure:
- 7.3.1 The applicant, its directors, proprietor, partners and associates satisfy the Fit and Proper Criteria as defined in the Securities and Exchange Board of India (Intermediaries) Regulations, 2008 (hereinafter referred to as **“Intermediaries Regulations 2008”**);
- 7.3.2 The applicant has taken satisfactory corrective steps to rectify the deficiencies or irregularities observed in the past in actions initiated/ taken by SEBI/ Stock Exchange(s) or other regulators. The Stock Exchange or Clearing Corporation may also seek details whether the Board of the applicant is satisfied about the steps taken. They may also carry out inspection, wherever considered appropriate; and

7.3.3 Recovery of all pending fees/ dues payable to SEBI, Stock Exchange and Clearing Corporation.

8. Registration of Members of Commodity Derivatives Exchanges⁹

- 8.1 Any person desirous of becoming a member of any commodity derivatives exchange(s), shall have to meet the eligibility criteria to become a member of an exchange and conditions of registration, as specified in SCRR 1957 and Stock Brokers Regulations 1992, respectively.
- 8.2 The application for registration shall be made in the manner prescribed in the Stock Brokers Regulations 1992, through the commodity derivatives exchange, of which it holds membership, in the prescribed form, along with the applicable fees. The application shall be accompanied by additional information as prescribed in [Annexure-1](#) to this circular regarding additional information to be submitted at the time of registration of stock broker with SEBI.
- 8.3 The minimum net worth specified for members of commodity derivatives exchanges, shall have to be computed as prescribed in the Stock Brokers Regulations 1992.
- 8.4 “Business in goods related to the underlying” and/ or “business in connection with or incidental to or consequential to trades in commodity derivatives”, by a member of a Stock Exchange, would not be disqualified under Rule 8(1)(f) and Rule 8(3)(f) of the SCRR 1957.

9. Integration of broking activities in Equity Markets and Commodity Derivatives Markets under single entity¹⁰

- 10.1A stock broker can deal in commodity derivatives and other securities under a single entity, thereby facilitating ease of doing business.
- 10.2As per the existing procedure under single registration mechanism, a one-time certificate of registration as stock broker / clearing member shall be granted by SEBI and subsequent permissions to act as a stock broker / clearing member of other Stock Exchanges / Clearing Corporation, shall be granted by the respective Stock Exchange / Clearing Corporation after proper due diligence.

⁹ Reference: Circular CIR/MIRSD/4/2015 dated September 29, 2015

¹⁰ Reference: Circular SEBI/HO/MIRSD/MIRSD1/CIR/P/2017/104 dated September 21, 2017.

10.3 Prior approval from SEBI will be required to be obtained by the stock broker only in cases where integration leads to change in control of the stock broker/clearing member.

10.4 Further, to facilitate integration between stock brokers, it is clarified that client account may be transferred from one stock broker to the other stock broker, by taking the express consent of the client through a verifiable mode of communication and thereby continuing with the existing set of documentation in respect of broker client relationship.

10. Uniform Membership structure across segments¹¹

10.1 SEBI has implemented the mechanism of single registration, whereby a registered TM /CM can operate in any segment of the recognized Stock Exchange / Clearing Corporation under the single registration number granted by SEBI.

10.2 In order to implement uniform membership structure across equity cash and derivatives segments, following course of action is provided:

10.2.1 The membership structure as TM, Self-clearing Member (SCM), CM and Professional Clearing Member (PCM) as prevalent in equity derivatives segment has been implemented in cash segment with effect from April 01, 2019

10.2.2 The existing Stock Brokers in cash segment of a Stock Exchange who are already registered as SCM / CM in derivatives segment have automatically become SCM / CM, as the case may be, in cash segment with effect from April 01, 2019.

10.2.3 The existing Stock Brokers in cash segment of a Stock Exchange who are not registered as SCM / CM in derivatives segment shall continue as SCM in cash segment with effect from April 01, 2019. However, -

10.2.3.1 Existing Stock Brokers in cash segment shall meet with the net-worth requirement as per formula prescribed by Dr. L.C. Gupta Committee as applicable to SCM / CM in equity derivatives segment on or before September 30, 2019.

¹¹ Reference: Circular SEBI/HO/MIRSD/DOP/CIR/P/2019/14 dated January 11, 2019.

- 10.2.3.2 Existing Stock Brokers in cash segment who fail to meet the net-worth requirement for SCM / CM on or before September 30, 2019 shall continue to trade as Trading Member in cash segment provided that they shall tie up with a CM / PCM for clearing and settlement of their trades on or before September 30, 2019.

11. Online Registration Mechanism for Securities Market Intermediaries¹²

- 11.1 SEBI Intermediary Portal (<https://siportal.sebi.gov.in>) has been operationalized for the intermediaries to submit all the registration applications online. The SEBI Intermediary Portal includes online application for registration, processing of application, grant of final registration, application for surrender / cancellation, submission of periodical reports, requests for change of name / address / other details etc.
- 11.2 All applications for registration / surrender / other requests shall be made through SEBI Intermediary Portal only. The application in respect of stock brokers and depository participants shall continue to be made through the Stock Exchanges and Depositories respectively.
- 11.3 The applicants will be separately required to submit relevant documents viz. declarations / undertakings, in physical form, only for records without impacting the online processing of applications for registration.
- 11.4 Where applications are made through the Stock Exchanges / Depositories, the hard copy of the applications made by their members shall be preserved by them and shall be made available to SEBI, as and when called for.

12. Transfer of business by SEBI registered intermediaries to other legal entity¹³

- 12.1 The transferee shall obtain fresh registration from SEBI in the same capacity before the transfer of business if it is not registered with SEBI in the same capacity. SEBI shall issue new registration number to transferee different from transferor's registration number in the following scenario:

“Business is transferred through regulatory process (pursuant to merger/

¹² Reference: Circular SEBI/HO/MIRSD/MIRSD1/CIR/P/2017/38 dated May 02, 2017.

¹³ Reference: Circular SEBI/HO/MIRSD/DOR/CIR/P/2021/46 dated March 26, 2021.

amalgamation / corporate restructuring by way of order of primary regulator /government / NCLT, etc.) or non-regulatory process (as per private agreement /MOU pursuant to commercial dealing / private arrangement) irrespective of transferor continues to exist or ceases to exist after the said transfer.

- 12.2 In case of change in control pursuant to both regulatory process and non-regulatory process, prior approval and fresh registration shall be obtained. While granting fresh registration to same legal entity pursuant to change in control, same registration number shall be retained.
- 12.3 If the transferor ceases to exist, its certificate of registration shall be surrendered.
- 12.4 In case of complete transfer of business by transferor, it shall surrender its certificate of registration.
- 12.5 In case of partial transfer of business by transferor, it can continue to hold certificate of registration.

V. SUPERVISION & OVERSIGHT

13. Oversight of Members (Stock Brokers/Trading Members/Clearing Members of any Segment of Stock Exchanges and Clearing Corporations)¹⁴

13.1 Inspection of Members by Stock Exchanges / Clearing Corporations

13.1.1 The Stock Exchange or the Clearing Corporation, as the case may be, shall, in consultation with SEBI, formulate a policy for annual inspection of their members in various segments and follow up action thereon. The policy shall also cover various kinds of risks posed to the investors and market at large on account of the activities/business conduct of their members.

13.1.2 The Stock Exchange or the Clearing Corporation, as the case may be, shall conduct inspection of their members in various segments in terms of the above policy and in case of members who hold multiple memberships of the exchanges, the Stock Exchanges shall establish an information sharing mechanism with one another on the important outcome of inspection in order to improve the effectiveness of supervision.

13.1.3 The inspection shall cover:

- a. Compliance with the relevant provisions of the Act, Rules and Regulations made there under, Rules and Regulation of the Stock Exchange / Clearing Corporation and the circulars issued by SEBI and Stock Exchanges / Clearing Corporations from time to time, and
- b. Efficacy of the investor grievance redressal mechanism and discharge of various obligations towards clients, for the preceding one year unless a longer period is warranted in the circumstances.

13.1.4 An illustrative list of common violations/deficiencies observed by SEBI in its inspections of members is enclosed as [Annexure-2](#). The Stock Exchanges and Clearing Corporations are advised to bring this list to the notice of members with an advice to them to avoid these

¹⁴ Reference: Circular SEBI/MIRSD/MASTER CIR-04/2010 dated March 17, 2010 and Circular CIR/MIRSD/13/2012 dated December 07, 2012.

violations/deficiencies.

- 13.1.5 The Stock Exchange or the Clearing Corporation, as the case may be, shall initiate all the follow up action – remedial, penal and disciplinary - required on inspection findings, within six months from the conclusion of the inspection.

13.2 Internal Audit

- 13.2.1 The member shall carry out complete internal audit on a half yearly basis by an independent qualified Chartered Accountant, Company Secretary or Cost and Management Accountant who is in practice and does not have any conflict of interest.

- 13.2.2 The audit shall cover, inter alia,

- a. the existence, scope and efficiency of the internal control system,
- b. compliance with the provisions of the SEBI Act, 1992, Securities Contracts (Regulation) Act 1956 (hereinafter referred to as “**SCRA 1956**”), Intermediaries Regulations 2008, Stock Brokers Regulations 1992, circulars issued by SEBI from time to time, Bye Laws and Regulations and circulars issued by the Stock Exchange / Clearing Corporation,
- c. data security and insurance in respect of operations, and
- d. efficacy of the investor grievance redressal mechanism and discharge of various obligations towards clients.

- 13.2.3 The internal auditor shall submit the audit report to the member, who shall place it before its Board of Directors/Proprietor/Partners and shall forward the same along with para-wise comments to the respective Stock Exchange/ Clearing Corporation within two months from the end of the half year period.

- 13.2.4 The Stock Exchange/Clearing Corporation shall analyze the audit reports so received and take appropriate follow up action.

- 13.2.5 The Stock Exchange/Clearing Corporation shall initiate appropriate